



MEMORANDUM

CN - No. 2026-0009

THE PHILIPPINE STOCK EXCHANGE, INC.

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|-------------------------------------|---|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Proposed Rule Amendments |

TO : THE INVESTING PUBLIC AND MARKET PARTICIPANTS

SUBJECT : PROPOSED AMENDMENTS TO THE PSE RULES ON SECURITIES BORROWING AND LENDING ("SBL") AND RATIONALIZATION OF THE SBL REPORTS

DATE : February 3, 2026

The Exchange is inviting all interested parties to submit their comments on the proposed amendments to the PSE Rules on Securities Borrowing and Lending ("SBL") and rationalization of the SBL reports, as discussed in the attached Consultation Paper.

Comments may be sent to the Office of the General Counsel at ogc_list@pse.com.ph until February 18, 2026.

For your information and guidance.

(Original signed)
Ramon S. Monzon
President and CEO

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The Philippine Stock Exchange, Inc.

Consultation Paper

PROPOSED AMENDMENTS TO THE PSE RULES ON SECURITIES BORROWING AND LENDING ("SBL") AND RATIONALIZATION OF THE SBL REPORTS

Disclaimer: This Consultation Paper is disseminated for the purpose of soliciting comments from the concerned stakeholders. The final version of the Rules may differ from the draft rules contained in this Consultation Paper.

I. Consultation Process

This Consultation Paper is circulated to give concerned stakeholders an opportunity to submit comments on the proposed amendments to the PSE Rules on Securities Borrowing and Lending ("PSE SBL Rules").

Interested parties may submit their comments and requests for clarifications by e-mail to ogc_list@pse.com.ph until **February 18, 2026**.

II. Proposed Amendments to the PSE SBL Rules

PSE proposes to amend the PSE SBL Rules to incorporate a framework for execution of offshore SBL transactions involving PSE-listed securities. This initiative is undertaken to align with global SBL processes and mechanisms and induce foreign participation in the PSE SBL program.

Under the current global SBL framework, (i) foreign lenders lend out their securities to foreign borrowers directly or through a foreign/offshore Lending Agent and (ii) collateral is managed by a third party collateral manager (if non-cash collateral) or the foreign Lender/Lending Agent (if cash collateral).

While the current PSE SBL Rules allow SBL transactions between foreign lenders/lending agents and foreign borrowers, it does not provide for a situation where the SBL transaction, including delivery and management of collateral, will be done purely offshore, and only the delivery of borrowed securities will take place in the Philippines.

In this regard, PSE proposes to allow an onshore Lending Agent registered as such with the Securities and Exchange Commission ("SEC") to facilitate the Philippine leg of SBL transactions between foreign lenders and foreign borrowers involving PSE-listed securities, but carve out collateral management from the functions and responsibilities of the onshore Lending Agent.

Thus, for SBL transactions involving PSE-listed securities between a foreign Lender/Lending Agent and a foreign Borrower executed outside the Philippines involving offshore collateral, the following proposed framework shall apply:

1. Securities owned by a foreign Lender will be lent to a foreign Borrower directly or through an offshore Lending Agent. This relationship will be governed by a Global Master Securities Lending Agreement ("GMSLA").
2. The foreign Lender or offshore Lending Agent will authorize an onshore custodian or Trading Participant to execute the lending instruction in the system of the onshore Lending Agent. These relationships will be governed by Securities Lending Authorization Agreements ("SLAA").

Concomitantly, the foreign Borrower will authorize an onshore custodian or Trading Participant to execute the borrowing transaction in the system of the onshore Lending Agent. This relationship will be governed by a service agreement or equivalent document.

3. The onshore Lending Agent will pool the securities for lending and transfer the borrowed securities to the account of the foreign Borrower's onshore custodian or Trading Participant. This relationship will be governed by a multilateral Master Securities Lending Agreement ("MSLA").
4. Collateral will be managed by an offshore third party collateral manager (if non-cash collateral) or the foreign/offshore Lender/Lending Agent (if cash collateral).
5. In case of default arising from failure to return borrowed securities, the onshore custodian or Trading Participant representing the Lender shall notify the onshore Lending Agent of the default and shall be responsible for remitting the capital gains tax due (if any) to the Bureau of Internal Revenue ("BIR").

A diagram of the proposed model is attached as Annex "A."

The proposed Revised PSE SBL Rules, incorporating the aforesaid framework, is attached as Annex "B." The salient proposed amendments are summarized below:

	Current Rule	Proposed Amendment
Mode of execution of offshore SBL transactions	None.	Execution of offshore bilateral SBL transactions shall be via Directed Pooled Lending.
Delivery of Collateral and Collateral Management	Collateral is delivered to and managed by onshore Lending Agent.	Collateral is delivered to and managed by offshore third party collateral manager (if non-cash collateral) or foreign/offshore Lender/Lending Agent (if cash collateral).
Default (e.g., failure to return borrowed securities)	Onshore Lending Agent executes default procedures (e.g., use cash collateral to buy equivalent securities).	Third party collateral manager or foreign/offshore Lender/Lending Agent executes default procedures. Non-defaulting party (whether Lender or Borrower), through its onshore representative, notifies the onshore Lending Agent of an event

		of default to close out the loan in the onshore Lending Agent's system.
Regulatory Reporting	Borrower files bi-annual report of outstanding and liquidated SBL Transactions ("Bi-Annual Report") with BIR.	Onshore Lending Agent files Bi-Annual Report with BIR. Lender or Borrower provides onshore Lending Agent with information relating to the Collateral and certifies the information's completeness and accuracy.
Right of Inspection/Audit	None.	PSE or its authorized representatives shall have the right to inspect or audit the participant's SBL system, books and records during normal business hours to determine compliance with the rules.

III. Proposed Rationalization of the SBL Reports

The table below lists the SBL reports currently required by regulatory agencies and outlines which party or parties to the MSLA/GMSLA are obligated to submit or maintain each report. There are a total of nine (9) reports required to be submitted to the SEC, BIR, and/or the Capital Markets Integrity Corporation ("CMIC").

Report Name	Submitted to / Required by:			Submitted / Maintained by:		
	SEC	BIR	CMIC	Borrower	Lender	Lending Agent
Securities Lending Confirmation Notice ¹	✓	✓	✓	✓	✓	✓
SBL Transactions Report ¹		✓		✓		
Bi-Annual Summary Report of Securities Lending ²	✓	✓	✓	✓	✓	✓
Bi-Annual Report of Outstanding SBL Transactions ²	✓	✓	✓	✓	✓	✓
Bi-Annual Report of Liquidated SBL Transactions ²		✓	✓	✓	✓	✓

¹ Prepared for every SBL transaction; submitted as attachment to the bi-annual reports

² Must be submitted within fifteen (15) days (to CMIC) and one (1) month (to SEC and BIR) of the covered period

Certification of Submission of Bi-Annual Summary Reports ³			✓	✓	✓	✓
Lending Ledger ⁴	✓	✓	✓		✓	✓
Securities Borrowed Ledger ⁴		✓	✓	✓		
Short Position Report ⁵			✓	✓		

Given that some reports contain similar information, PSE proposes to rationalize the reports into four (4) for SBL transactions without a Lending Agent and three (3) for SBL transactions with a Lending Agent, as follows:

For SBL transactions without a Lending Agent:

Report Name	Submitted to / Required by:			Submitted / Maintained by:	
	SEC	BIR	CMIC	Borrower	Lender
Merged report based on: 1. Securities Lending Confirmation Notice 2. SBL Transactions Report	✓	✓	✓		✓
Merged report based on: 1. Bi-Annual Summary Report of Securities Lending 2. Bi-Annual Report of Outstanding SBL Transactions 3. Bi-Annual Report of Liquidated SBL Transactions	✓	✓	✓		✓
Certification of Submission of Bi-Annual Summary Reports	Remove				
Merged report based on: 1. Securities Borrowed Ledger 2. Short Position Report	✓	✓	✓	✓	
Lending Ledger	✓	✓	✓		✓

³ Must be submitted within five (5) calendar days from filing with the BIR

⁴ For CMIC: as attachment to the bi-annual summary report

⁵ As of the 15th day and last day of each calendar month, to be submitted within two (2) trading days following the date of the computation

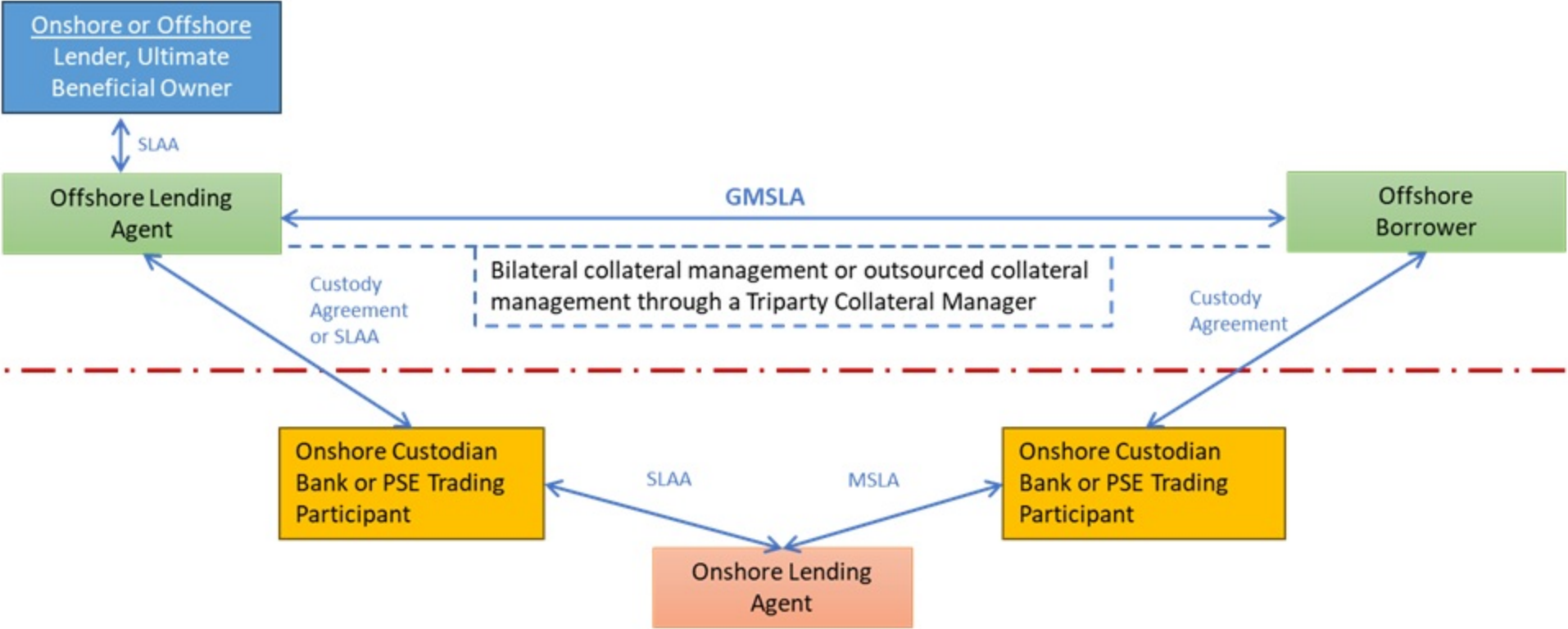
For SBL transactions with a Lending Agent:

Report Name	Submitted to / Required by:			Submitted / Maintained by:		
	SEC	BIR	CMIC	Borrower	Lender	Lending Agent
Merged report from: 1. Securities Lending Confirmation Notice 2. SBL Transactions Report	✓	✓	✓			✓
Merged report from: 1. Bi-Annual Summary Report of Securities Lending 2. Bi-Annual Report of Outstanding SBL Transactions 3. Bi-Annual Report of Liquidated SBL Transactions	✓	✓	✓			✓
Certification of Submission of Bi-Annual Summary Reports	Remove					
Merged report from: 1. Lending Ledger 2. Securities Borrowed Ledger 3. Short Position Report	✓	✓	✓			✓

ANNEX "A"

International Participants

Domestic Participants



ANNEX “B”

PART 1- REVISED PSE RULES ON SECURITIES BORROWING & LENDING

A. General Provisions

In order to avail of the tax treatment of the Securities Borrowing and Lending (SBL) transactions under BIR Revenue Regulations No. 10-2006 dated June 23, 2006, as amended by BIR Revenue Regulations No. 1-2008 and 10-2024, these Rules set out the requirements for the conduct of SBL transactions under the SBL Program administered and supervised by the Exchange (“PSE SBL Program”).

1.01 DEFINITION OF TERMS

When used under these Rules, the following terms shall have the meaning indicated, unless the context provides otherwise:

- (a) **Borrower.** Any person who borrows shares of stock or securities listed and traded in the PSE from a Lender/Lending Agent's portfolio to support his/its trading activities or for any of the specified purposes under the SBL Revenue Regulations.
- (b) **BIR.** Bureau of Internal Revenue.
- (c) **CMIC. Capital Markets Integrity Corporation.**
- (d) **Collateral.** Cash, equity securities, or government securities, or combination thereof or any collateral as may be allowed by the Exchange from time to time and provided to the Lender/Lending Agent as guarantee until the obligations of the Borrower under the MSLA ~~and SLAA~~ are fully complied with.
- (e) **Commission or SEC.** Securities and Exchange Commission.
- (f) **Directed Pooled Lending. A method in which the terms of an SBL Transaction are agreed upon by the Lender and Borrower in a bilateral MSLA or GMSLA, and the SBL Transaction is facilitated by the onshore Lending Agent by transferring Lender's Securities in the Lending Pool to the account of the Borrower.**
- (g) **Exchange or PSE.** The Philippine Stock Exchange, Inc.
- (h) **Lender.** Any person who lends securities from his/its pool of assets as principal or from the assets of its clients in case of a Lending Agent.
- (i) **Lending Agent.** Any juridical person or institution ~~that has the financial and technical capabilities to perform the required functions of an SBL intermediary as required under the Rules of the Commission~~ which acts on behalf of a client with respect to the lending of securities.
- (j) **Lending Pool. Pool of Securities held by the Lending Agent that are available for lending. Lending Pool may refer to multilateral Lending Pool where the Lender is randomly selected and matched with a Borrowing Request through the Lending Pool system's algorithm, or directed Lending Pool where the Lender and Borrower are already identified.**
- (k) **Mark-to-Market.** The practice of periodically valuing borrowed securities and securities used as Collateral based on their current market prices in order to reflect their current market prices.
- (l) **Master Securities Lending Agreement (MSLA).** ~~A~~ written contract between a Lender/Lending Agent and the Borrower that defines and specifies the general terms and conditions under which

shares of stock or securities listed and traded through the PSE are lent or borrowed under an SBL arrangement. Aside from compliance with applicable Philippine laws, the MSLA shall conform to the Global Master Securities Lending Agreement (GMSLA) text/outline by the International Securities Lending Association format.

- (j) **PSE-MRD.** The Market Regulatory Division of The Philippine Stock Exchange, Inc.
- (m) **SBL Revenue Regulations.** Revenue Regulations No. 10-2006 dated June 23, 2006 entitled "Prescribing the Guidelines and Conditions for the Tax treatment of Securities Borrowing and Lending Transactions Involving Shares of Stock or Securities Listed in the Philippine Stock Exchange", or any amendment or revision thereof.
- (n) **SEC SBL Circular.** SEC Memorandum Circular No. 7, series of 2006 entitled "Rules on Securities Borrowing and Lending", or any amendment or revision thereof.
- (o) **Securities Lending Authorization Agreement (SLAA).** A written contract between the beneficial owner of the securities and the Lending Agent/Agent-Facilitator by which the former authorizes the latter to offer his securities for lending under the terms agreed between them.
- (p) **Securities Borrowing and Lending (SBL).** The lending of ~~Shares of Stock~~ Securities from a Lender/Lending Agent's portfolio on a given date to a Borrower's portfolio to support the Borrower's trading activities or for other purposes in accordance with Section 6(f) of the SBL Revenue Regulations with a commitment of the Borrower to return and deliver the ~~Shares of Stock~~ Securities or its equivalent to the Lender/Lending Agent.
- (q) **~~Shares of Stock~~ Securities.** Shares of stock or units of securities or derivatives thereof listed and traded in The Philippine Stock Exchange, Inc.
- (r) **Trading Participant.** A broker and/or dealer who is authorized to operate a trading right in the Exchange, pursuant to PSE rules.
- (s) **Trading Participant/Agent-Facilitator.** A Trading Participant who acts on behalf of a client before a Lending Agent to facilitate the lending and borrowing of securities.

1.02 COVERAGE

- (a) SBL Transactions shall comply with these Rules in order to qualify for tax-free treatment provided in Section 5 of the SBL Revenue Regulations and Republic Act No. 9243 entitled "An Act Rationalizing the Provisions on the Documentary Stamp Tax of the National Internal Revenue Code of 1997, as amended, and for other purposes".
- (b) These Rules shall govern SBL transactions by and between:
 - (i) Local Borrowers and Local Lender/Lending Agents;
 - (ii) Local Borrowers and Foreign Lender/Lending Agents;
 - (iii) Foreign Borrowers and Local Lender/Lending Agents; and
 - (iv) Foreign Borrowers and Foreign Lender/Lending Agents.whether executed within or without the Philippines as long as the subject matter pertains to ~~Shares of Stock~~ Securities issued by companies listed in the PSE.
- (c) **SBL Transactions between Foreign Borrower and Foreign Lender/Lending Agent executed outside the Philippines and involving offshore collateral ("Offshore SBL Transaction") shall be governed by Part C of these Rules.**

1.03 REGISTRATION

- (a) Any person who wishes to act as Lending Agent shall be duly registered with the Commission in accordance with the SEC SBL Circular.
- (b) A Lending Agent shall furnish the Exchange a certified true copy of its registration as a Lending Agent with the SEC before entering into an SBL transaction in such capacity.

1.04 DOCUMENTATION

- (a) **Master Securities Lending Agreement (MSLA)** - The Lender/Lending Agent and Borrower shall execute an MSLA which shall comply with the requirements provided in Sections 6 and 7 of the SBL Revenue Regulations. In addition:
 - (i) The Borrower shall register the MSLA with the BIR in accordance with Section 8 of the SBL Revenue Regulations prior to the execution of the first SBL transaction.
 - (ii) The Borrower shall inform its counter-party as soon as practicable, of the fact of registration of the MSLA with the BIR.
- (b) **Securities Lending Authorization Agreement (SLAA)**
 - (i) A person acting as Lending Agent in behalf of another person shall execute an SLAA ~~duly executed by~~ with the latter before the first SBL transaction on behalf of said person.
- (c) **Consolidated Confirmation Notice and Transaction Report**
 - (i) Each SBL transaction shall be evidenced by a **Consolidated Confirmation Notice and Transaction Report** (in the format ~~substantially prescribed in SBLF3~~ by PSE) that specifies the details of the SBL transaction and shall be kept and maintained by ~~both parties~~ the Lender or if applicable, the Lending Agent and provided to the BIR and SEC as may be required under relevant regulations or upon request.
~~In addition, the signatories in the SBLF3 shall be specified.~~
- (d) **Consolidated Bi-Annual Summary Reports of Outstanding and Liquidated SBL Transactions and Stock Returns and Lending Ledger**
 - (i) The Borrower Lender or if applicable, the Lending Agent shall submit to the BIR and SEC to the Exchange a Certification (in the format ~~substantially prescribed in SBLF5~~) that it has filed the **Consolidated** Bi-Annual Summary Report of Outstanding and Liquidated SBL Transactions and Stock Returns and its attachments (**"Bi-Annual Report"**) within thirty (30) days after the end of the covered period ~~required by the SBL Revenue Regulations, within five (5) calendar days from the filing thereof with the BIR.~~ The Lender or if applicable, the Lending Agent shall also maintain a Lending Ledger and submit it to the BIR and SEC upon request.
- (e) **Consolidated Securities Borrowed Ledger and Short Position Report**
 - (i) The Borrower or if applicable, the Lending Agent shall maintain and submit to the BIR and SEC upon request the Consolidated Securities Borrowed Ledger and Short Position Report.

The reports in paragraphs (c), (d) and (e) of this section can be in electronic or paper form.

1.05 **COLLATERAL AND COLLATERAL MANAGEMENT**

- (a) For every SBL transaction, the Borrower shall provide and deliver to the Lender/Lending Agent, prior to or simultaneous with the delivery to the Borrower of the borrowed ~~Shares of Stock~~ **Securities**, the Collateral in such amount or value as provided in the SEC SBL Circular (the "Prescribed Collateral Value"). **Delivery of the Collateral shall include the transfer of title on the Collateral or the grant of a security interest on the Collateral, as may be applicable.**
- (b) For every SBL transaction, simultaneous with the return and delivery by the Borrower to the Lender of the borrowed ~~Shares of Stock~~ **Securities**, the Lender shall return and deliver the Collateral to the Borrower in its Prescribed Collateral Value at the time of the return and delivery of the ~~Shares of Stock~~ **Securities**.
- (c) If the value of the Collateral becomes less than the Prescribed Collateral Value, the Lender/Lending Agent shall require the Borrower to increase the amount of Collateral. When the value of the Collateral becomes greater than the Prescribed Collateral Value, the Borrower may require the Lender/Lending Agent to release the Collateral that is in excess of Prescribed Collateral Value.
- (d) A Lender/Lending Agent must ensure that its books and records for Collateral received are sufficiently updated and will enable prompt and proper accounting.
- (e) In case of failure of the Borrower to return the borrowed ~~Shares of Stock~~ **Securities** to the Lender/Lending Agent or in case of default on the part of the Borrower under the MSLA, upon written notice to the Borrower, the Lender/Lending Agent shall have the option to dispose of the assigned Collateral and offset the market value of the Collateral against the borrowed ~~Shares of Stock~~ **Securities** and the balance, if any, shall be promptly returned or refunded to the Borrower. This right is not exclusive and shall be without prejudice to the other rights and remedies that the Lender/Lending Agent may have against the Borrower under the MSLA, existing laws and regulations.

B. Trading Participants

- 2.01 A Trading Participant who wishes to engage in SBL as Agent-Facilitator shall execute an SLAA with its client before the first SBL transaction on behalf of the client and as a Lender, with the Lending Agent.
- 2.02 A Trading Participant whether acting as an Agent-Facilitator or a principal with respect to securities that it owns shall engage a Lending Agent in its conduct of SBL transactions.
- 2.03 Administrative and reporting requirements prescribed for the Trading Participant should be clearly set out in the MSLA.
- 2.04 A Trading Participant who engages in SBL **as Lender, Borrower or Lending Agent** is required to maintain **the SBL Reports under Rule 1.04, paragraphs (c), (d) and (e), as may be applicable** ~~SBL forms (SBLF 2a-2b, 3 and 4a-4d)~~, whether in manual or electronic form in accordance with Section 52 of the Securities Regulation Code ("SRC") with respect to records retention, **and submit the report to the BIR, SEC and CMIC as may be required under relevant regulations.** The ledgers must be kept up-to-date and must record the full and complete details of all SBL transactions. In addition, such Trading Participant shall comply with Sections 232-235 of the National Internal Revenue Code of 1997, as amended, on Keeping of Books of Accounts and Records.
- 2.05 The SBL ledgers shall be subject to reasonable periodic, special, or other examinations by examiners or other representatives of the Commission or the ~~PSE-MRD~~ **CMIC** as may be deemed necessary or

appropriate for the public interest or for the protection of investors.

- 2.06 All Trading Participants who participate in SBL as Lender or Lending Agent shall submit, within fifteen (15) calendar days after the end of every six months, the Bi-Annual Report a summary of all its SBL transactions (in the format provided in SBLF2a & 2b) to the PSE-MRD of the Exchange CMIC as additional report to the Risk-Based Capital Adequacy requirement.
- 2.07 Trading Participant acting as principal shall be permitted to borrow or lend securities in accordance with applicable laws, and their implementing rules, including the SEC SBL Circular and SBL Revenue Regulations.
- 2.08 In no case will a Trading Participant allow ~~a-its~~ its clients to lend their shares Securities to the SBL facility if the result would be that the Trading Participant will have a negative exposure from ~~their~~ its clients as defined under the Risk Based Capital Adequacy Requirement as stated in SEC Memorandum Circular 16, series of 2004, as amended.
- 2.09 Trading Participants shall strictly comply with all the rules and requirements of the PSE SBL Program. Any Trading Participant engaged in SBL who violates any of the provisions of these Rules shall be penalized under the applicable rules of the PSE-MRD PSE and CMIC.

C. Execution of Offshore SBL Transactions

- 3.01 Execution of SBL Transactions under a bilateral GMSLA shall be via Directed Pooled Lending.
- 3.02 Except as provided in the succeeding sections, all provisions of these Rules shall apply to Offshore SBL Transactions.
- 3.03 Delivery of Collateral and Collateral Management – Collateral shall be delivered to an offshore third party collateral manager designated by the Lender and/or the Borrower (if non-cash collateral) or the Lender or the offshore Lending Agent (if cash collateral), who shall:
- (i) Receive the Collateral from the Borrower;
 - (ii) Mark-to-market the Collateral against the borrowed Securities outstanding for each Borrower at least once a day;
 - (iii) Determine the adequacy of the total Collateral value against the total market value of the borrowed Securities outstanding for each Borrower and issue margin calls or effect margin releases as may be appropriate;
 - (iv) Track corporate actions on the Collateral, collect benefits due them and distribute said benefits to the Borrower;
 - (v) Reinvest the Collateral as may be allowed by the Lender;
 - (vi) Return the Collateral to the Borrower at the end of the borrowing period or earlier as may be provided in the MSLA; and
 - (vii) Execute default procedures as may be required by the Lender and/or the Borrower.

The onshore Lending Agent shall only execute the Offshore SBL Transaction by facilitating the transfer of the borrowed Securities from the Lending Pool to the Borrower's account but shall not be responsible for the above collateral management functions nor for central counterparty risk management.

- 3.04 Notice of Default - The non-defaulting party (whether the Lender or the Borrower), through its local representative, shall notify the onshore Lending Agent of an event of default or an event which, with the passage of time and/or upon the service of a written notice to the defaulting party, would be an event of default. Upon receipt of the notice of an event of default or the happening of the event of default, as may be applicable, the onshore Lending Agent shall close out the loan in its Directed Pooled Lending system.
- 3.05 Termination of Loan - The Lender and the Borrower shall notify the onshore Lending Agent of a loan pre-termination arising from a recall of the borrowed Securities, a return of the borrowed Securities, or any other cause as provided in the MSLA, prior to the effective date of termination.
- 3.06 Bi-Annual Report - The onshore Lending Agent shall be responsible for filing the Bi-Annual Report with the BIR, SEC and CMIC. The Lender or the Borrower, as may be required by the onshore Lending Agent, shall provide to the onshore Lending Agent any information required in the Bi-Annual Report or any other report relating to an SBL transaction which the onshore Lending Agent is required to maintain and/or submit to the BIR, SEC, PSE, CMIC or any other regulator, pursuant to a law, rule or regulation, but is not available to the onshore Lending Agent such as, but not limited to, information relating to the Collateral, and certify that the information provided is complete and accurate.
- 3.07 Compliance with Local SBL Regulations - All participants to the Offshore SBL Transaction shall:
- 3.07.1 Comply with the SBL Revenue Regulations, SEC SBL Circular, these Rules, and all relevant issuances by the BIR, SEC, PSE or any other regulator; and
- 3.07.2 Grant PSE or its authorized representatives the right to inspect or audit the participant's SBL system, books and records during normal business hours to determine compliance with these Rules.

D. Miscellaneous Provisions

- 4.01** The Exchange may restrict or prohibit a listed ~~Share of Stock or s~~Security from being borrowed and loaned, or a Trading Participant acting on his behalf of its client from borrowing and lending securities, indefinitely or temporarily for the protection of investors.
- 4.02** The SBL transaction shall in no way be used to circumvent Sections 24, 26, 30.1 and 30.2 of the SRC, Manipulation of Security Prices, Devices and Practices, Fraudulent Transactions, Prohibited Transactions in Securities Where Broker or Dealer and Issuer are Linked and other similar laws, rules and regulations prohibiting fraud, manipulation and insider trading of securities.
- 4.03** Any party which conducts or engages in an SBL transaction shall be deemed to have provided the Exchange an indemnity holding free and harmless and indemnifying the Exchange and its directors, officers and employees against all tax liabilities arising from, or in connection with, the SBL transaction.
- 4.04** Any and all violations of these Rules either by the Trading Participant or non-Trading Participant shall be immediately reported by the Exchange to the Commission and the BIR within a reasonable time from the discovery thereof. PSE may impose appropriate sanctions/penalties for any and all violations of these Rules by a Trading Participant or a non-Trading Participant, including blacklisting such participant from the PSE SBL Program.

E. Applicability of SEC Memorandum

Circular No. 7, series of 2006

- 5.01** SEC Memorandum Circular No. 7, series of 2006, and any amendment thereto, shall be considered part and parcel of these Rules and shall have supplementary or suppletory application insofar as the lending and borrowing of shares of stock or securities listed in the PSE are concerned.

F. Separability Clause

- 6.01** If any portion or provision of these Rules is declared unconstitutional or invalid, the other portions or provisions hereof, which are not affected thereby shall constitute continue in full force and effect.